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“Resolution of insolvency in real estate remains tough on account of the multiplicity of stakeholders. This includes local authorities, which are the key approving authorities but cannot be directed by the courts to share relevant project information in a time-bound manner, which is critical”



R.K. BANSAL
MD & CEO,
EDELWEISS
ARC

“There is still some ambiguity regarding the priority of secured lenders. The waterfall mechanism isn’t clearly spelt out. These need to be sorted out; otherwise, secured and unsecured lenders would become equal, which would impact lending”

alisation of operational creditors to liquidation value. “The financial creditors will get up to liquidation value, and anything over and above will be shared equally between secured, unsecured, and operational creditors,” says R.K. Bansal, MD & CEO of Edelweiss ARC.

Misha says one needs to conduct a thorough economic study to determine how many operational creditors have gone bankrupt in companies under the IBC. “Mak-

ing changes to the law based solely on apprehensions would not be prudent,” she says. Good point.

Real Estate Recoveries

The IBC framework covers not just corporate insolvency. In November 2019, non-banking finance companies (NBFCs) were brought under the IBC. The RBI was given the power to file insolvency applications. So far, there has been only one resolution—when the Piramals bought DHFL. In 2018, a separate IBC process was introduced for the real estate sector. Under this, homebuyers are treated as financial creditors, provided at least a 100 buyers, or 10 per cent of the allottees, come together. Today, real estate accounts for the second highest number of admitted cases at 29 per cent of the total admitted cases, after the manufacturing sector, which is at 39 per cent.

In real estate, a default on one project triggers an IBC process against the whole business, affecting all other ongoing projects. But experts say there is likely to be an amendment introducing project-wise resolutions. The concept of project-wise insolvency for corporate debtors has emerged as a result of judicial interpretation by the NCLAT. In February 2020, the Delhi-based Umang Realtech was the first real estate company for which the NCLAT allowed project-wise insolvency. In May, the Supreme Court upheld the project-level resolution for Supertech. The current IBC provisions do not provide for such a procedure.

In addition, real estate insolvency is a tough proposition on account of the multiplicity of stakeholders. This includes local authorities, which are the key approving authorities but cannot be directed by the courts with respect to sharing relevant project information in a time-bound manner. “We have to ensure that the local authorities provide all project-level information (including approvals and plans) to the resolution professional (RP) well before the bids are received. This will help the RP assess the time and cost required to complete the project,” says Aashiesh Agarwaal, Senior VP at ANAROCK Capital Advisors.

Some suggest an NBFC-type insolvency mechanism for real estate. The Real Estate Regulatory Authority (RERA) should take the lead in appointing an administrator to take a company to the IBC. But that’s not without problems. “RBI has a long history of six to seven decades, whereas RERA is state-specific. It’s not a centralised organisation like RBI, so giving RERA a lead might not be easy,” says Chawla of S&A Law Offices.